

China Semiconductors (H/A)

FY25 & 1Q26 results wrap: AI-driven demand remains strong

Price Objective Change

Mixed FY25 results amid ongoing sector divergence

This report summarizes the 1Q26/FY25 results for fabless & IDM companies under our coverage. A-share semiconductor companies reported mixed FY25 results, with a relatively balanced beat/miss profile and continued divergence across sub-sectors. Sector revenue grew at an average of c.15% YoY in 4Q25, supported primarily by recovery in computing-related demand, while profitability remained volatile. By segment, companies with memory chips exposure (e.g., Montage) delivered strong results, benefiting from DDR5 penetration and product upcycle tailwinds, whereas power semi (NCE, Silan) or vendors with major smartphone exposure (i.e. Goodix, Maxscend) generally reported soft results. H-share listed companies under our coverage reported mixed FY25 results, with Horizon Robotics delivering strong topline growth (+58% YoY). In addition, InnoScience and Black Sesame posted solid FY25 revenue growth at 46% YoY and 73% YoY, respectively, but remained loss-making, reflecting investment phase in emerging segments.

1Q26: clearer recovery momentum, led by AI demand

Encouragingly, 1Q26 marked a clearer acceleration in sector fundamentals, with revenue growth expanding to c.30% YoY on average and earnings growth rebounding more meaningfully. The improvement was primarily volume-driven, reflecting gradual demand recovery and early signs of AI-related demand ramp across computing and AIoT. Within our coverage, Montage and GigaDevice continued to outperform, while AI-related names (e.g., Rockchip) maintained solid growth momentum on product ramp-up and expanding end-market adoption. Overall, we continue to see a stable recovery trend, with AI-exposed and computing-related segments leading, while traditional power semis remain in a more gradual recovery phase.

Preferred stock picks; estimates & PO changes

Considering growth visibility, earnings trajectory and structural positioning, we like **Montage** for its (1) sustained DDR5 upgrade cycle, (2) ramp-up of PCIe Retimer / other emerging products (e.g., MRCD / MDB), and (3) solid growth of CPU/server shipment. **GigaDevice** offers solid secular growth, driven by continued share gains in DRAM / MCU / NOR Flash and benefits from memory upcycle. **InnoScience** is also preferred for promising growth outlook with multiple long-term growth drivers (AIDC, auto, robotics). **Horizon Robotics** stands out on strong revenue growth and expanding design wins, benefiting from rising ADAS penetration and scaling of its next-generation automotive SoCs. We also see **Rockchip** and **NCE Power** as beneficiaries of AIoT and power semi demand recovery, respectively.

We revise our estimates and POs for Montage, Goodix, and Silan.

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See the list of acronyms in [Exhibit 33](#).

Exhibit 1: We revise our POs for three semis companies under our coverage

PO change

Company	Old	New
Montage	Buy RMB220	Buy RMB251
Goodix	Neutral RMB89	Neutral RMB73
Silan	U/P RMB18.9	U/P RMB20.3

Source: BofA Global Research

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Refer to important disclosures on page 24 to 26. Analyst Certification on page 22. Price Objective Basis/Risk on page 19.

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Exhibit 2: Our top picks for Buys are Montage, GigaDevice and Horizon Robotics

Investment thesis summary of our semiconductor coverage

BofA Ticker	Company	Ticker	PO	Rating	Investment thesis
XRDF	Montage	688008 CH	RMB251.0	Buy	1) Solid growth of memory interface and supporting chips on DDR5 sub-gen upgrade; 2) Rapid emerging product (i.e., PCIe Retimer) ramp-up; 3) Secular growth on enlarging interconnect chip Total Addressable Market (TAM).
XGXIF	GigaDevice	603986 CH	RMB455.0	Buy	1) Stronger growth of its DRAM business on price hike and share gain 2) Solid recovery of NOR from modest price hike and demand recovery 3) Market share gain potential in China MCU market and promising long-term growth outlook for its auto MCU business
HRZRF	Horizon Robotics	9660 HK	HK\$11.9	Buy	1) Secular growth of autonomous driving SoC market, 2) Leading market position, 3) Promising share gain opportunity in China. Besides, we believe expansion into non-automotive market could be the second growth engine in the long term.
XRPXF	Rockchip	603893 CH	RMB235.0	Buy	1) A good proxy for booming AIoT SoCs; 2) Strategic expansion into frontier markets such as automotive electronics and robotics
XSCHF	InnoScience	2577 HK	HK\$92.0	Buy	1) A good proxy for rapid growth of global GaN power semi market 2) NVIDIA partnership on 800V HVDC architecture which positions InnoScience as a key enabler of megawatt-scale computing with promising revenue upside
XVFFF	NCE Power	605111 CH	RMB47.0	Buy	1) Secular growth potential of China MOSFET market driven by emerging applications (EV, AI computing); 2) Further market-share gain amid the localization tailwind; 3) Potential margin improvement given favorable product mix change (i.e., high-end products).
BSIHF	Black Sesame	2533 HK	HK\$20.0	Neutral	1) Secular growth of China's autonomous driving SoC market, 2) Solid revenue growth momentum ahead with new product launches and rising penetration among auto OEMs, while we think price upside should be limited due to low visibility to achieve breakeven in the near term.
XQPLF	Goodix	603160 CH	RMB73.0	Neutral	1) Gradually easing competition in fingerprint sensor market amid prolonged margin pressure; 2) solid growth of touch control IC and emerging growth drivers from new products; 3) Fair valuation trading around historical average P/E.
XMVSF	Maxscend	300782 CH	RMB50.0	U/P	1) Softer top-line growth ahead on slow ramp-up of new module products and muted industry smartphone shipment; 2) N-T margin pressure on competition and higher depreciation costs (from XinZhuo project).
XDFRF	Silan	600460 CH	RMB20.3	U/P	1) Pricing pressure due to intensified competition of China power semi market 2) Softer earnings from persistent margins pressure and higher depreciation expense 3) Rich valuation.

Source: BofA Global Research

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Exhibit 3: China semiconductor sector: FY25 & 1Q26 results wrap (A-share)

A-share semi companies reported mixed FY25 & 1Q26 results

(Rmb mn)	Revenue			Revenue YoY (%)			Net profit / (loss)			Net profit / (loss) YoY (%)			FY25 Beat/In-line/Miss	1Q26 Beat/In-line/Miss
Company	9M25	4Q25	1Q26	9M25	4Q25	1Q26	9M25	4Q25	1Q26	9M25	4Q25	1Q26		
Montage	4,058	1,399	1,461	58%	31%	20%	1,632	603	847	67%	39%	61%	In-line	Beat
GigaDevice	6,832	2,372	4,188	21%	39%	119%	1,083	565	1,461	30%	109%	523%	Beat	Beat
Rockchip	3,141	1,261	1,205	45%	29%	36%	780	260	329	122%	7%	57%	In-line	In-line
NCE Power	1,385	492	517	2%	4%	15%	335	59	95	1%	-42%	-13%	Miss	In-line
Goodix	3,521	1,215	969	9%	5%	-9%	677	160	117	51%	3%	-40%	Miss	Miss
Maxscend	2,769	957	828	-18%	-15%	9%	(171)	(122)	(144)	-140%	418%	210%	In-line	Miss
Silan	9,713	3,339	3,519	19%	9%	17%	349	49	209	1109%	-74%	41%	Miss	Miss
Average				20%	15%	30%				177%	66%	120%		
Median				19%	9%	17%				51%	7%	57%		

Source: Companies, BofA Global Research

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Exhibit 4: H-share semi companies under our coverage reported mixed FY25 results

China semiconductor sector: FY25 results wrap (H-share)

(Rmb mn)	Revenue		Revenue YoY (%)		Net profit / (loss)		Net profit / (loss) YoY (%)		FY25 Beat/In-line/Miss
Company	2H25	FY25	2H25	FY25	2H25	FY25	2H25	FY25	
Horizon Robotics	2,192	3,758	51%	58%	(5,236)	(10,469)	-170%	n.m.	Beat
InnoScience	660	1,213	49%	46%	(412)	(841)	-26%	-20%	Slightly miss
Black Sesame	569	822	94%	73%	(662)	(1,425)	-16%	n.m.	Beat

Source: Companies, BofA Global Research

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Exhibit 5: China semiconductors: estimates changes

We cut earnings forecasts in FY26-27E for Silan and Goodix and raise revenue and earnings forecasts in FY26-28E for Montage

Company	Rmb mn	FY26E			FY27E			FY28E			Reason for estimates revision
		New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)	
Montage	Revenue	7,570	7,448	1.6	10,481	10,250	2.3	13,567	13,317	1.9	Better demand outlook for CPU as discussed in recent Intel and AMD results, we think it will be positive for Montage's shipment of memory interface chip ahead.
	Net profit	3,945	3,850	2.5	5,335	5,104	4.5	6,955	6,652	4.6	
Silan	Revenue	15,549	16,084	-3.3	17,769	18,236	-2.6	19,634	N.A	N.A	Faster revenue growth ahead on demand recovery and new products ramp-up. Lower earnings forecast due to N-T margin pressure due to increased depreciation from project 'Xinzhuo', and high R&D expenses
	Net profit	808	875	-7.6	1,065	1,085	-1.8	1,272	N.A	N.A	
Goodix	Revenue	5,408	6,069	-10.9	6,257	7,065	-11.4	7,336	N.A	N.A	Slower revenue growth ahead due to weaker demand and lower ASP of capacitive/optical products on competition. Better earnings recovery ahead on margins improvement and effective cost control.
	Net profit	846	958	-11.7	931	1,074	-13.4	960	N.A	N.A	

Source: BofA Global Research estimates

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Capex upcycle to drive solid demand

Globally, consensus projects that aggregated capex across top-5 U.S cloud vendors can grow +60% YoY in CY26E, [according to BofA U.S Semiconductor Team \(report link\)](#).

Meanwhile, total server capex in China is expected to further rise 25% YoY in 2026E per our estimate. We see promising growth outlook for Montage's memory interface chips (used in traditional server) and PCIe Retimer (used in AI server), with wider AI adoption for agentic AI and stronger capex by internet companies / cloud service providers (CSP).

Exhibit 6: Summary of Cloud Capex Outlook (incl. leases)

Consensus aggregate projections suggest cloud capex across major U.S cloud vendors can grow +60%/+17% YoY in CY26/27E

CapEx (\$mn)	C1Q25	C2Q25	C3Q25	C4Q25	C1Q26E	C2Q26E	C3Q26E	C4Q26E	2023	2024	2025	2026E	2027E
Top 5 US	82,419	104,919	121,279	139,046	158,943	168,660	183,689	203,364	161,255	261,106	447,663	714,656	834,625
Google	17,197	22,446	23,953	27,851	35,704	42,134	47,327	53,086	32,251	52,535	91,447	178,251	210,288
Microsoft (incl. leases)	21,400	24,200	34,900	37,500	35,221	38,004	38,737	41,713	41,200	75,600	118,000	153,675	175,336
Amazon (incl. leases)	25,019	32,183	35,095	39,522	42,686	47,605	51,029	56,404	52,729	82,999	131,819	197,725	219,034
Meta (incl. leases)	12,941	17,010	18,829	22,140	26,698	29,851	32,511	36,366	28,140	39,227	70,920	125,426	154,626
Oracle	5,862	9,080	8,502	12,033	18,635	11,065	14,085	15,795	6,935	10,745	35,477	59,580	75,342
YoY %													
Top 5 US	67.10%	71.80%	80.50%	66.50%	92.80%	60.80%	51.50%	46.30%	-0.60%	61.90%	71.40%	59.60%	16.80%
Google	43.20%	70.20%	83.40%	95.10%	107.60%	87.70%	97.60%	90.60%	2.40%	62.90%	74.10%	94.90%	18.00%
Microsoft (incl. leases)	52.90%	27.40%	74.50%	65.90%	64.60%	57.00%	11.00%	11.20%	45.10%	83.50%	56.10%	30.20%	14.10%
Amazon (incl. leases)	67.60%	82.70%	55.20%	42.00%	70.60%	47.90%	45.40%	42.70%	-17.20%	57.40%	58.80%	50.00%	10.80%
Meta (incl. leases)	92.70%	100.80%	104.70%	49.20%	106.30%	75.50%	72.70%	64.30%	-12.20%	39.40%	80.80%	76.90%	23.30%
Oracle	250.20%	224.50%	269.20%	203.10%	217.90%	21.90%	65.70%	31.30%	3.80%	54.90%	230.20%	67.90%	26.50%

Source: BofA Global Research estimates, Bloomberg

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Exhibit 7: We estimate China's total server capex to increase 25% YoY in 2026E

Total server capex in China

	2024	2025	2026E	2027E	2028E	2025-28E CAGR
Total server capex (Rmb bn)	284	379	475	550	625	18%
YoY (%)	60%	34%	25%	16%	14%	
AI server capex (Rmb bn)	180	267	350	414	478	22%
YoY (%)	115%	48%	31%	18%	15%	
Traditional server capex (Rmb bn)	104	113	125	136	147	
YoY (%)	11%	9%	11%	9%	8%	

Source: Companies, CIC, BofA Global Research estimates; Note: Include major internet companies / CSPs, telecom operators and others.

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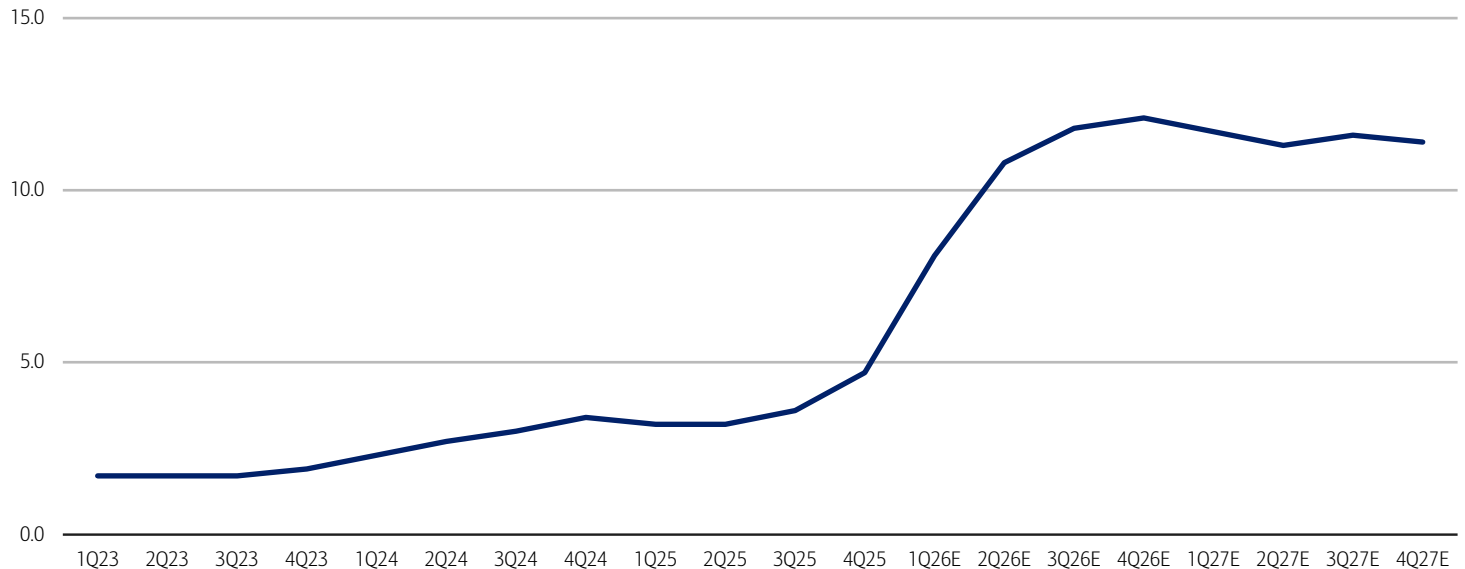
Memory upcycles to continue

According to BofA Global Memory Tech Team ([report on 30 Apr](#)), the memory “super-cycle” is expected to continue into 2027-2028. Key catalysts should be tight chip supply vs strongly rising AI chip demand. The capex is strongly rising, but actual chip production volume is unlikely to grow much even in 2027-28. Most chipmakers seem to be expecting sub-20% annual bit growth (for DRAM and NAND) in 2028-30 even with newly constructed fabs.



Exhibit 8: BofA memory tech team expect further pricing hikes for DRAM in 2Q26E and largely stable in following quarters

Global DRAM quarterly blended ASP (US\$) trends (8Gb equiv')

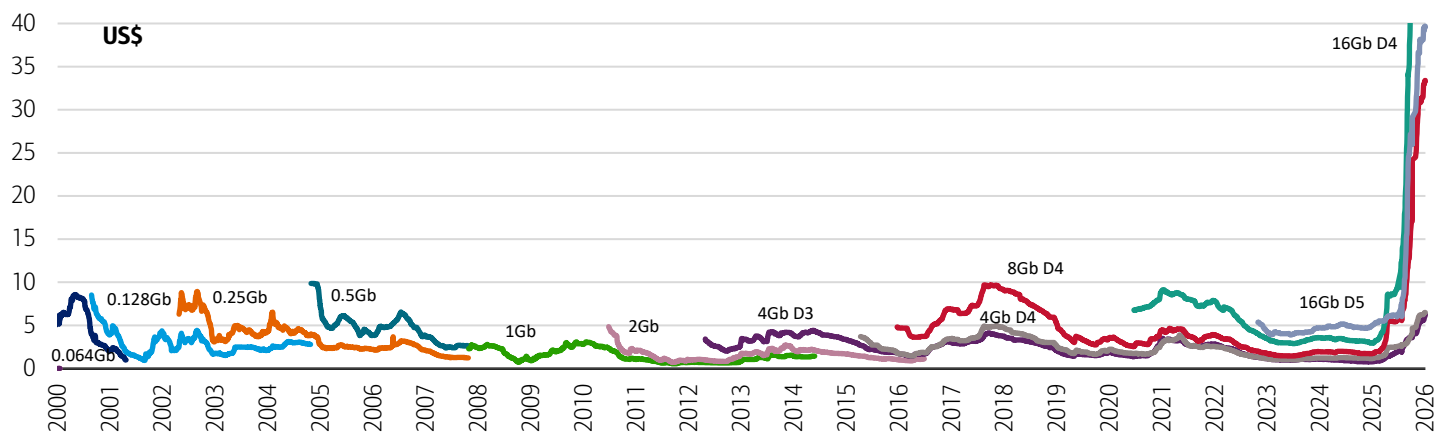


Source: Company, BofA Global Research estimates

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Exhibit 9: DRAM spot price softened in 2H March after an exceptionally strong rally from Sept-25 to Jan-2026. DRAM price hit the highest levels in the past 25 years as the current mainstream DRAM 16Gb DDR5 stood at US\$38 and 16Gb DDR4 at \$75 as chipmakers reallocated production to HBM and server-grade DRAM. Previous high level was hit in Oct-17, but it was only \$10 range.

DRAM spot price – long-term trend (2000-2025)



Source: DRAMeXchange

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MCU

Sales recovery with improving downstream demand

According to WSTS data, global MCU demand has started to recover, with both shipment and ASP trends turning positive since 1Q26, following a prolonged downcycle driven by weakness in automotive and industrial end-markets. The pace of recovery remains gradual but clearly bottomed out.

In contrast, China has seen a stronger and earlier rebound, supported by resilient demand in consumer electronics and policy-driven consumption recovery. China MCU



revenue returned to positive growth in early 2026, with March 2026 sales up low teens YoY, indicating improving volume momentum.

Exhibit 10: Lead time for MCU has shortened since 2Q24 but has remained largely stable since 2025

Lead time trend for delivery of MCU products

Category	Product	Company	4Q23 (Dec)	1Q24 (Mar)	2Q24 (Jun)	3Q24 (Sep)	4Q24 (Dec)	1Q25 (Mar)	2Q25 (Mar)	3Q25 (Sep)	4Q25 (Nov)	2Q26 (Apr)
MCU	8-bit	IFX	10-14	10-14	10-26	10-26	10-26	10-26	10-26	10-26	10-26	10-26
	8-bit	MCHP	4-16	4-12	4-12	4-12	4-12	4-12	4-12	4-12	4-12	4-12
	8-bit	NXP	13-39	13-39	13-39	13-39	13-39	13-39	13-39	13-39	13-39	16-39
	8-bit	Renesas	12-18	12-18	12	12	12-18	12-18	12-18	14-18	14-18	18
	8-bit	STM	10-24	10-24	10-24	10-24	10-24	10-24	10-24	10-24	13-33	30
	32-bit	IFX	10-52	10-52	10-26	10-26	10-26	10-26	10-26	10-26	10-26	10-97
	32-bit	MCHP	4-28	4-18	4-18	4-18	4-18	4-18	4-18	4-18	4-18	4-18
	32-bit	NXP	13-39	13-39	13-39	13-39	13-39	13-39	13-39	13-39	13-39	16-39
	32-bit	Renesas	18	18	12	12	12-18	12-18	14-18	14-18	14-18	28

Source: Future Electronics, BofA Global Research

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Power semi

Promising sales recovery for power semi in 2026E

Global power discrete demand has bottomed since late 2025, with YoY growth turning positive as the cycle recovers from a prolonged downturn.

China continues to outperform, with solid YoY growth in 1Q26 driven by new energy and automotive demand, in our view. We expect further recovery in China to be mainly volume-driven, while pricing may witness recovery for MOSFET from 2Q26E as many power semi companies (including NCE power) raised the price.

China IGBT and MOSFET demand has entered a clear recovery phase since late 2025, with momentum further strengthening into 1Q26. IGBT sales have rebounded more sharply, delivering strong YoY growth, while MOSFET has shown a more gradual but steady recovery (up mid-teens YoY in March 2026), according to SIA data.

We attribute the recovery primarily to volume growth, supported by improving demand in key end-markets such as new energy and industrial applications. Despite the demand rebound, overall pricing remains under pressure amid ongoing competition.

Exhibit 11: The lead time for power discretes has remained largely stable since 4Q25

Product lead time in power discrete

Category	Product	Company	Lead time									
			4Q23 (Dec)	1Q24 (Mar)	2Q24 (Apr)	3Q24 (Sep)	4Q24 (Dec)	1Q25 (Mar)	2Q25 (Jun)	3Q25 (Sep)	4Q25 (Nov)	2Q26 (Apr)
Power discrete	LV MOSFET	Diodes	8-16	8-16	8-14	8-18	8-18	12-40	12-40	12-40	12-40	12-40
	LV MOSFET	IFX	10-36	10-36	10-20	10-20	10-20	8-26	8-26	8-39	8-52	12-52
	LV MOSFET	ON	12-40	12-40	12-40	10-46	10-36	7-38	7-38	6-42	8-42	10-52
	LV MOSFET	STM	50-54	50-54	13-41	13-41	13-32	13-32	13-32	13-26	13-26	10-23
	LV MOSFET	Vishay	16-52	16-52	6-38	6-28	6-26	8-36	8-36	8-40	8-52	12-52+
	HV MOSFET	IFX	12-40	10-32	10-20	10-26	8-24	8-40	8-40	9-49	9-39	12-52
	HV MOSFET	ON	12-40	12-40	12-36	14-42	12-26	4-19	4-19	6-40	7-34	7-50
	HV MOSFET	Rohm	16-20	16-20	16-22	12-22	12-18	12-26	12-26	12-26	12-26	12-26
	HV MOSFET	STM	14-40	14-40	13-39	13-32	13-26	13-32	13-32	13-26	13-26	13-26
	HV MOSFET	Vishay	12-52	10-26	9-38	10-28	10-26	8-28	8-28	8-40	12-50	12-52+
	IGBT	ON	16-52	12-52	10-41	10-41	10-37	8-37	8-37	8-29	8-31	10-40
	IGBT	IFX	14-52	14-52	14-42	12-52	12-52	12-52	12-52	10-42	10-44	12-52
	IGBT	STM	14-52	12-52	14-52	14-22	14-20	14-32	14-32	14-20	14-20	14-24

Source: Future Electronics, BofA Global Research; Note: If lead time is shortened vs. previous quarter, the number is marked in Red.

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Topline recovery but margins under pressure

China power semiconductor companies have shown a clear revenue recovery since 2024, with aggregate sales revenue growth accelerating into 1H25 and remaining solid into 1Q26 (~20% YoY on average), indicating ongoing demand recovery. However, the growth trajectory has become more moderated since 2H25, suggesting a shift from early-cycle rebound to a more normalized expansion phase.

In contrast, gross margins (GPM) have remained under pressure. On a positive note, we see a modest recovery trend to ~26.6% on average in 1Q26. This trend highlights that the current upcycle is primarily volume-driven, while market competition may remain intensified.

Exhibit 12: Major China power semi companies have witnessed solid revenue growth in recent quarters

China power semi company quarterly financials

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
Total sales (Rmb mn)									
Silan (600460 CH)	2,465	2,809	2,889	3,058	3,000	3,336	3,377	3,339	3,519
YoY (%)	19%	17%	19%	25%	22%	19%	17%	9%	17%
Jiejie Micro (300623 CH)	520	743	743	839	700	901	901	993	920
YoY (%)	29%	49%	42%	23%	35%	21%	21%	18%	31%
Yangjie (300373 CH)	1,328	1,537	1,558	1,610	1,579	1,876	1,893	1,782	2,130
YoY (%)	1%	17%	10%	18%	19%	22%	21%	11%	35%
CR Micro (688396 CH)	2,116	2,644	2,711	2,647	2,355	2,863	2,851	2,985	2,857
YoY (%)	-10%	-1%	8%	12%	11%	8%	5%	13%	21%
StarPower (603290 CH)	805	728	881	976	919	1,016	1,054	1,023	864
YoY (%)	3%	-20%	-5%	-7%	14%	40%	20%	5%	-6%
NCE Power (605111 CH)	372	502	482	473	449	481	456	492	517
YoY (%)	-1%	30%	39%	27%	21%	-4%	-6%	4%	15%
Total	7,605	8,964	9,266	9,602	9,002	10,473	10,531	10,613	10,807
YoY (%)	4%	9%	14%	16%	18%	17%	14%	11%	20%
GPM (%)									
Silan (600460 CH)	22.1%	18.0%	18.1%	18.6%	21.3%	19.6%	18.0%	16.7%	19.8%
Jiejie Micro (300623 CH)	38.0%	36.4%	40.1%	31.9%	39.9%	31.9%	28.1%	26.3%	27.8%
Yangjie (300373 CH)	27.7%	31.3%	33.6%	38.7%	34.6%	33.1%	37.3%	32.0%	36.8%
CR Micro (688396 CH)	26.5%	26.3%	28.4%	27.3%	25.3%	25.9%	27.9%	26.2%	25.5%
StarPower (603290 CH)	31.8%	31.2%	32.0%	31.2%	30.4%	29.2%	24.5%	20.8%	21.1%
NCE Power (605111 CH)	34.8%	36.5%	38.0%	36.0%	36.6%	35.1%	30.9%	29.2%	28.7%
Average GPM	30.1%	30.0%	31.7%	30.6%	31.4%	29.1%	27.8%	25.2%	26.6%

Source: Companies, BofA Global Research

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AIoT SoC

The memory price hike in 3Q25 disrupted the growth trend of AIoT SoC companies, while recently the AIoT SoC companies in China have demonstrated robust revenue growth, with aggregate sales growth re-accelerating to ~30–35% YoY by 4Q25-1Q26, driven by continued product ramps and improving demand across smart devices and edge AI applications. More notably, gross margins have trended upward, with average GPM improving from ~35% in 2024 to ~42% in 1Q26, reflecting both product mix upgrade (AI-enabled SoCs, higher ASP segments) and economies of scale on rising volumes, in our view.

Exhibit 13: Major China AIoT SoC companies have witnessed gross margin expansion in recent quarters

China AIoT SoC company quarterly financials

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
Total sales (Rmb mn)									
Rochchip (603893 CH)	543	706	911	977	885	1,161	1,096	1,261	1,205
YoY (%)	65%	35%	51%	44%	63%	65%	20%	29%	36%
Amlogic (688099 CH)	1,378	1,638	1,624	1,286	1,530	1,801	1,741	1,722	1,895
YoY (%)	33%	25%	8%	-15%	11%	10%	7%	34%	24%
SigmaStar (301536 CH)	527	656	630	541	665	738	763	806	994
YoY (%)	21%	19%	29%	-1%	26%	12%	21%	49%	49%
Allwinner Technology (300458 CH)	410	653	623	603	620	717	824	677	912
YoY (%)	72%	49%	40%	9%	51%	10%	32%	12%	47%
Total	2,858	3,653	3,788	3,406	3,700	4,416	4,423	4,466	5,007
YoY (%)	40%	29%	24%	3%	29%	21%	17%	31%	35%
GPM (%)									
Rochchip (603893 CH)	34.7%	36.9%	37.3%	40.0%	40.9%	43.3%	40.8%	42.4%	43.0%
Amlogic (688099 CH)	34.2%	36.3%	38.2%	37.2%	36.2%	37.3%	37.7%	40.5%	37.5%
SigmaStar (301536 CH)	36.4%	36.3%	35.3%	35.1%	33.3%	33.1%	33.8%	36.2%	46.1%
Allwinner Technology (300458 CH)	33.4%	32.7%	30.8%	28.4%	32.5%	33.5%	32.6%	33.0%	40.2%
Average GPM	34.7%	35.5%	35.4%	35.2%	35.7%	36.8%	36.2%	38.0%	41.7%

Source: Companies, BofA Global Research

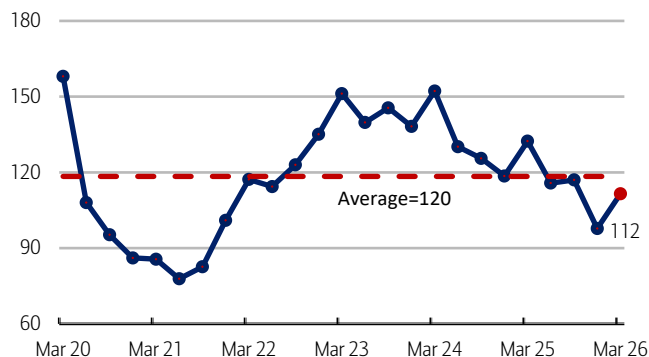
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Inventory days analysis

Exhibit 14: The DOI fallen below the historical average level in 1Q26

Inventory days trend of major Chinese power devices companies

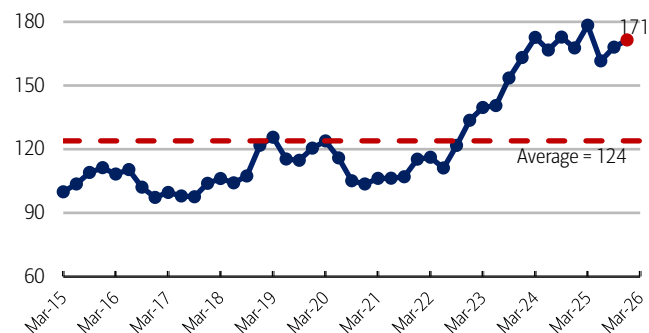


Source: Company, BofA Global Research estimates; Note: Companies included in the calculation are Silan, CR Micro, Yangjie, StarPower, Jiejie Micro, and NCE Power

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Exhibit 15: The DOI has been trending up for global companies in the most recent quarter

Inventory days trend for leading global power semis companies

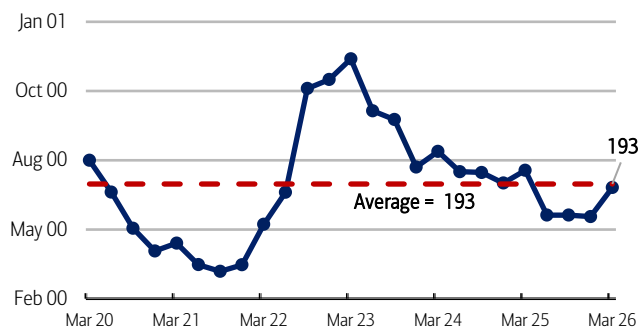


Source: Company, BofA Global Research; Note: Calculation includes Infineon, ON Semi and STMicro.

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Exhibit 16: Average DOI for leading Chinese MCU companies was at historical average in 1Q26

Inventory days trend of major Chinese MCU companies

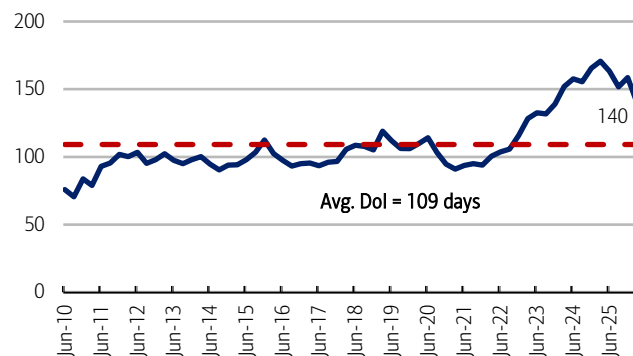


Source: Companies, BofA Global Research; Note: Companies included in the calculation are GigaDevice, Sino Wealth, Nations Technologies, China Micro Semicon, Espressif Systems.

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Exhibit 17: Average DOI for global leading semis companies with MCU exposures has trended down in 1Q26

Inventory days trend of leading global semis companies with MCU exposure

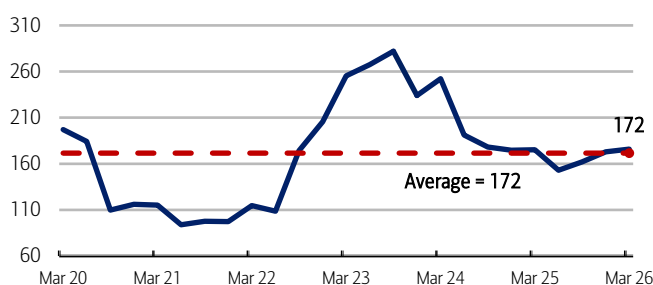


Source: Companies, BofA Global Research; Note: companies included in the calculation are NXP, STMicro, Microchip, Renesas, Infineon.

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Exhibit 18: Average DOI for major Chinese analog companies stays at historical average in 1Q26

Inventory days trend of major Chinese analog companies

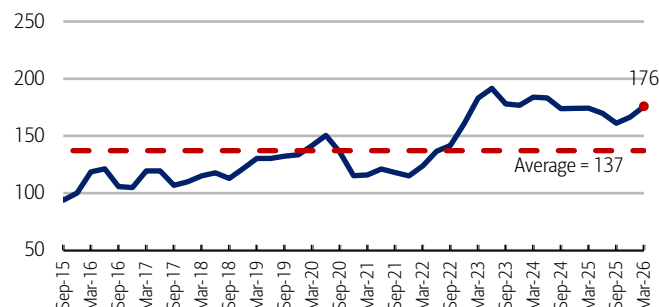


Source: Companies, BofA Global Research; Note: Companies included in the calculation are SG Micro, Awinic, Novosense, 3Peak.

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Exhibit 19: The average DOI has been trending up in recent quarters

Average inventory days for global analog companies



Source: Companies, BofA Global Research estimates; Note: Companies include TI, Analog Devices and Skyworks.

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Estimates and PO changes

Montage (688008 CH, Buy)

Reiterate Buy on Montage as we believe the company provides a unique combination of: 1) broad portfolio of interconnect chips (memory interface chip, PCIe retimer and others) with revenue exposure focusing on servers (both non-AI and AI servers), and 2) TAM expansion opportunities from new products (MRCD/MDB and PCIe switch). In view of better demand outlook for CPU as discussed in recent Intel and AMD results, we think it will be positive for Montage's shipment of memory interface chip ahead. Hence, we raised our FY26-28E net earnings estimates by 3-5%. Accordingly, our DCF-based PO is adjusted to RMB251 (from RMB220) based on unchanged WACC of 9.0% and L-T growth rate of 3%. Our new PO implies 57x FY27E P/E, on back of 49% EPS CAGR in FY25-27E.

Better CPU demand outlook driven by agentic AI

AMD recently raised its CY30 server CPU TAM to \$120bn vs. \$60bn prior, on greater emerging agentic AI demand for orchestration CPU ([see report](#)). BofA US Semiconductor team recently raised the CPU shipment forecast for AMD & Intel and expect AMD and Intel Server CPU shipment to grow 20% YoY in 2026E on Agentic AI trend. As memory interface chip is used to connect CPU to DRAM within a server, we see positive implications on future memory interface demand.

Exhibit 20: INTC is expected to ramp its 18A-based Diamond Rapids CPU throughout 2026, and AMD to launch its 2nm-based Venice in 2H26

Major CPU Vendor Roadmaps

BofA Securities		1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	1Q28	2Q28	3Q28	4Q28	
Server CPUs	AMD (EPYC)	Zen 4 "Genoa-X" (T-5nm)			Zen 5 "Turin" (T-4nm)						Zen 6 "Venice" (T-2nm)				Zen 7 "Verano" (T-A16)							
	AMD (EPYC C)	Zen 4c "Bergamo" (T-5nm)			Zen 5c "Turin Dense" (T-3nm)						Zen 6c (T-2nm)											
	INTC (Xeon P)	"Emerald Rapids" (I-7)		"Granite Rapids" (I-3) (HVM - 1H25)						"Diamond Rapids" (I-18A)						"Coral Rapids" (I-18A-P)						
	INTC (Xeon E)		"Sierra Forest" (I-3)								"Clearwater Forest" (I-18A)											
	NVDA	"Grace" (T-4nm)								"Vera" (T-3nm)												
	ARM													"AGI" (T-3nm)								

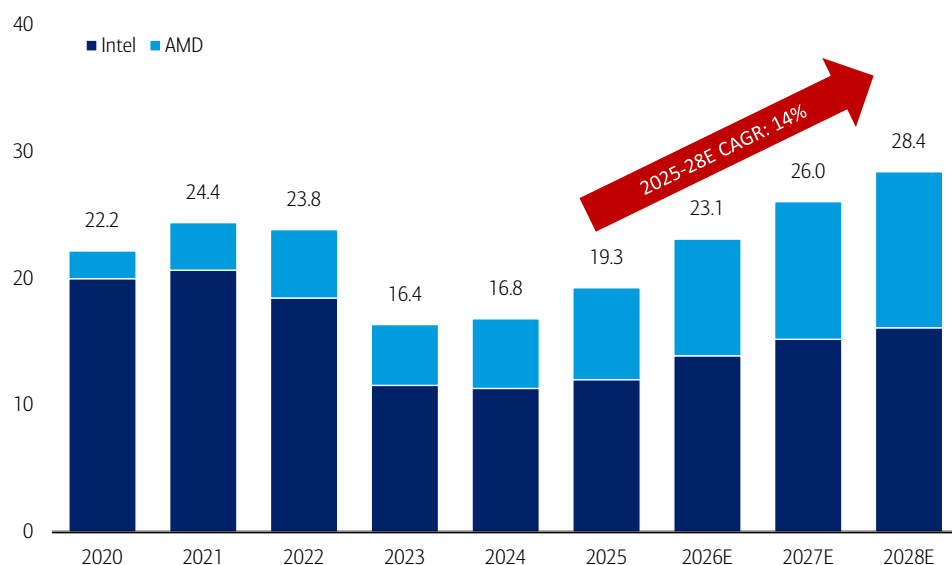
Source: BofA Global Research estimates

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Exhibit 21: BofA US semi team expect INTC and AMD Server CPU shipment to grow 20% YoY in 2026E on Agentic AI trend

Server CPU Units Outlook (mn): Intel and AMD



Source: BofA Global Research estimates, Mercury Research. Data as of 8 May, 2026

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Exhibit 22: Revenue increased 20% YoY / 4% QoQ to Rmb1.46bn in 1Q26

Montage - quarterly results

(RMB million)	1Q25	YoY %	QoQ %	2Q25	YoY %	QoQ %	3Q25	YoY %	QoQ %	4Q25	YoY %	QoQ %	1Q26	YoY %	QoQ %
Interconnection chip	1,139	63.9%	36.7%	1,322	58.6%	16.0%	1,371	61.5%	3.7%	1,307	34.4%	-4.7%	1,417	24.4%	8.5%
Jintide® server platform	82	93.7%	-13.2%	90	-5.0%	9.4%	53	-6.4%	-40.6%	92	-3.9%	73.0%	44	-46.6%	-52.5%
Total revenue	1,222	65.8%	31.7%	1,411	52.1%	15.5%	1,424	57.2%	0.9%	1,399	31.0%	-1.8%	1,461	19.5%	4.4%
Cost of revenue	(483)	55.0%	23.6%	(558)	42.8%	15.5%	(522)	39.7%	-6.5%	(497)	11.2%	-4.8%	(441)	-8.7%	-11.2%
Gross profit	739	73.7%	37.7%	853	59.0%	15.4%	902	69.5%	5.8%	902	45.1%	-0.1%	1,019	38.0%	13.1%
Gross margin (%)	60.4%	2.7ppt	2.6ppt	60.4%	2.6ppt	0.0ppt	63.3%	4.6ppt	2.9ppt	64.5%	6.3ppt	1.1ppt	69.8%	9.3ppt	5.3ppt
Sales and marketing cost	(24)	11.4%	10.2%	(27)	24.7%	13.2%	(31)	18.4%	12.3%	(38)	43.4%	25.5%	(29)	20.6%	-24.3%
% of revenue	2.0%	-1.0ppt	-0.4ppt	1.9%	-0.4ppt	0.0ppt	2.1%	-0.7ppt	0.2ppt	2.7%	0.2ppt	0.6ppt	2.0%	0.0ppt	-0.8ppt
General and administrative cost	(102)	156.2%	156.1%	(120)	201.0%	17.5%	(370)	774.0%	208.8%	65	-187.6%	NM	(127)	25.0%	NM
% of revenue	8.3%	2.9ppt	4.0ppt	8.5%	4.2ppt	0.1ppt	26.0%	21.3ppt	17.5ppt	-4.7%	-11.6ppt	-30.6ppt	8.7%	0.4ppt	13.4ppt
Research and development cost	(153)	-13.1%	-19.7%	(204)	7.0%	33.3%	(176)	-5.1%	-13.7%	(382)	80.8%	116.9%	(188)	22.9%	-50.7%
% of revenue	12.5%	-11.4ppt	-8.0ppt	14.5%	-6.1ppt	1.9ppt	12.4%	-8.1ppt	-2.1ppt	27.3%	7.5ppt	14.9ppt	12.9%	0.4ppt	-14.4ppt
Business tax	(1)	-2.5%	4.2%	(2)	18.8%	14.0%	(2)	25.8%	9.4%	(2)	-14.6%	-9.7%	(2)	19.0%	5.7%
Operating profit	458	145.8%	62.1%	500	76.8%	9.1%	324	16.9%	-35.2%	545	77.5%	68.2%	673	46.9%	23.5%
Operating margin (%)	37.5%	12.2ppt	7.0ppt	35.4%	5.0ppt	-2.1ppt	22.7%	-7.8ppt	-12.7ppt	39.0%	10.2ppt	16.2ppt	46.1%	8.6ppt	7.1ppt
Net Interest income/(expense)	41	-24.9%	-40.0%	85	26.0%	110.0%	75	1.5%	-12.4%	28	-38.2%	-62.4%	(25)	-161.6%	NM
Investment gain / (loss)	10	-21.3%	126.3%	10	147.3%	9.3%	76	286.4%	623.6%	2	-88.0%	-98.0%	11	16.2%	626.4%
Asset revaluation gain/ (loss)	8	-158.9%	NM	(17)	-35.3%	NM	25	-15.3%	NM	10	-71.3%	-61.3%	222	2705.4%	2201.5%
Other income / (expense)	14	984.1%	-79.5%	76	8.7%	429.2%	8	204.0%	-89.6%	44	-256.8%	447.9%	(4)	-128.8%	NM
Profit before tax	531	120.7%	33.0%	655	64.2%	23.5%	507	26.1%	-22.7%	628	69.2%	23.8%	877	65.3%	39.8%
Tax expense	(27)	58.3%	-8.1%	(47)	58.8%	72.8%	(43)	127.8%	-8.4%	(74)	1033.1%	73.6%	(47)	75.2%	-36.2%
Minority interest	22	-11481749.2%	101442696.7%	25	117779069.7%	16.1%	9	443.1%	-63.2%	50	-27.9%	442.2%	18	-18.3%	-64.7%
Net profit	525	135.1%	42.1%	634	71.4%	20.6%	473	22.9%	-25.3%	603	39.1%	27.5%	847	61.3%	40.5%
Net margin (%)	43.0%	0.4ppt	3.1ppt	44.9%	0.1ppt	1.9ppt	33.2%	-0.2ppt	-11.7ppt	43.1%	0.1ppt	9.9ppt	58.0%	0.3ppt	14.9ppt

Source: Company, BofA Global Research

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Exhibit 23: We expect Montage to post 35% revenue CAGR in FY25-28E

Montage - Income statement (FY24-28E)

(RMB million)	FY24	YoY %	FY25	YoY %	FY26E	YoY %	FY27E	YoY %	FY28E	YoY %
Interconnection chip	3,349	53.3%	5,139	53.4%	7,212	40.4%	10,092	39.9%	13,110	29.9%
Jintide® server platform and others	290	186.4%	318	9.7%	357	12.4%	389	8.9%	457	17.5%
Total revenue	3,639	59.2%	5,456	49.9%	7,570	38.7%	10,481	38.5%	13,567	29.4%
Cost of revenue	(1,524)	62.2%	(2,061)	35.3%	(2,327)	12.9%	(3,188)	37.0%	(4,159)	30.4%
Gross profit	2,115	57.1%	3,395	60.5%	5,243	54.4%	7,293	39.1%	9,408	29.0%
Gross margin (%)	58.1%	-0.8ppt	62.2%	4.1ppt	69.3%	7.0ppt	69.6%	0.3ppt	69.3%	-0.2ppt
Sales and marketing expenses	(96)	6.7%	(120)	25.2%	(153)	26.9%	(179)	17.5%	(231)	29.2%
% of revenue	2.6%	-1.3ppt	2.2%	-0.4ppt	2.0%	-0.2ppt	1.7%	-0.3ppt	1.7%	0.0ppt
General and administrative expenses	(196)	13.4%	(526)	168.2%	(657)	24.8%	(805)	22.5%	(1,028)	27.8%
% of revenue	5.4%	-2.2ppt	9.6%	4.3ppt	8.7%	-1.0ppt	7.7%	-1.0ppt	7.6%	-0.1ppt
Research and development expenses	(763)	12.0%	(915)	19.9%	(1,123)	22.7%	(1,443)	28.5%	(1,790)	24.0%
% of revenue	21.0%	-8.8ppt	16.8%	-4.2ppt	14.8%	-1.9ppt	13.8%	-1.1ppt	13.2%	-0.6ppt
Business tax	(6)	14.1%	(7)	5.1%	(9)	38.8%	(13)	38.4%	(17)	29.5%
Operating profit	1,053	165.9%	1,827	73.5%	3,301	80.7%	4,853	47.0%	6,341	30.7%
Operating margin (%)	28.9%	11.6ppt	33.5%	4.5ppt	43.6%	10.1ppt	46.3%	2.7ppt	46.7%	0.4ppt
Net Interest income / (expense)	241	33.4%	228	-5.1%	310	36.0%	421	35.7%	572	35.7%
Investment gain / (loss)	49	-46.6%	97	99.6%	92	-5.3%	87	-5.1%	83	-4.3%
Asset revaluation gain/ (loss)	24	NM	26	8.4%	207	699.5%	20	-90.3%	22	10.0%
Other income / (expense)	46	NM	142	206.5%	133	-6.5%	142	6.9%	152	7.1%
Profit before tax	1,413	199.1%	2,321	64.3%	4,043	74.2%	5,523	36.6%	7,171	29.8%
Tax expense	(72)	241.1%	(191)	165.6%	(231)	21.1%	(442)	91.1%	(609)	37.9%
Minus: Minority interest	71	NM	106	49.1%	133	25.4%	254	91.3%	394	54.9%
Net profit	1,412	212.8%	2,236	58.4%	3,945	76.5%	5,335	35.3%	6,955	30.4%
Net margin (%)	38.8%	19.0ppt	41.0%	2.2ppt	52.1%	11.1ppt	50.9%	-1.2ppt	51.3%	0.4ppt

Source: Company, BofA Global Research

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Goodix (603160 CH, Neutral)**4Q25 results: solid earnings with softer top-line**

Goodix recently reported its 4Q25 & 1Q26 results. 4Q25 revenue reached Rmb1.22bn, up 5% YoY while down 4% QoQ, which is 22% below BofAe estimate. Net profit in 4Q25 increased 3% YoY to Rmb160mn (80% above our estimate). In 1Q26, revenue was down 9% YoY / 20% QoQ to Rmb969mn due to softer demand amid a low season for smartphones, in our view. Despite solid ramps of emerging products (e.g., ultrasonic F/P) through FY25, mgmt. noted that the market's view on end-demand (e.g., smartphones) has turned more cautious amid recent memory pricing hikes. In view of a more muted outlook for industry end-demand, we trim our FY26-27E revenue forecasts by 10-11%. Rolling over valuation, our DCF-based PO is adjusted to Rmb73 (from Rmb89). Reiterate our Neutral rating given balanced risk / rewards in terms of valuation.

FY26E: further ramp-up of new products

In FY25, total revenue recovered 8% YoY to Rmb4.74bn, driven by rapid shipment growth from new products including the ultrasonic F/P sensor, security (NFC/eSE), light sensors and active stylus ICs, per mgmt. The ultrasonic F/P sensor has already surpassed optical and capacitive F/P sensors in revenue contribution in FY25; mgmt. expects ultrasonic F/P product to account for >40% of fingerprint sensor revenue in FY26E, supported by rising penetration in Android smartphones (from ~10% in 2025 to >20% over the next few years). On R&D, Goodix will focus on OLED TDDI and high-power audio, with OLED TDDI product validation expected in 2026E, according to mgmt.



GPM improvement as rev mix shifting

FY25 GPM improved 0.4ppt YoY to 42.2%, driven by the ramp of new products and better cost economics on existing products following iteration. While upstream foundries are passing through higher fabrication costs, mgmt. believes overall cost remains manageable.

Exhibit 24: 1Q26 revenue down 9% YoY / 20% QoQ to Rmb969mn

Goodix - quarterly results

(RMB million)	1Q25	YoY %	QoQ %	2Q25	YoY %	QoQ %	3Q25	YoY %	QoQ %	4Q25	YoY %	QoQ %	1Q26	YoY %	QoQ %
Total revenue	1,064	-12.6%	-7.6%	1,187	14.4%	11.5%	1,269	31.3%	6.9%	1,215	5.4%	-4.3%	969	-9.0%	-20.2%
Cost of revenue	(603)	-17.0%	-9.8%	(674)	16.0%	11.7%	(735)	28.9%	9.1%	(726)	8.5%	-1.2%	(573)	-5.0%	-21.1%
Gross profit	461	-6.2%	-4.6%	513	12.4%	11.2%	535	34.9%	4.2%	489	1.2%	-8.5%	396	-14.1%	-19.0%
Gross margin (%)	43.3%	3.0ppt	1.4ppt	43.2%	-0.8ppt	-0.1ppt	42.1%	1.1ppt	-1.1ppt	40.3%	-1.7ppt	-1.9ppt	40.9%	-2.5ppt	0.6ppt
Sales and marketing cost	(47)	-1.7%	-34.7%	(47)	6.0%	-0.4%	(37)	37.0%	-20.1%	(51)	-28.8%	37.0%	(38)	-17.9%	-24.7%
% of revenue	4.4%	0.5ppt	-1.8ppt	3.9%	-0.3ppt	-0.5ppt	2.9%	0.1ppt	-1.0ppt	4.2%	-2.0ppt	1.3ppt	4.0%	-0.4ppt	-0.2ppt
General and administrative cost	(48)	-5.1%	-6.0%	(50)	8.0%	3.6%	(44)	52.4%	-11.2%	(38)	-26.0%	-14.4%	(35)	-27.3%	-7.6%
% of revenue	4.5%	0.4ppt	0.1ppt	4.2%	-0.2ppt	-0.3ppt	3.5%	0.5ppt	-0.7ppt	3.1%	-1.3ppt	-0.4ppt	3.6%	-0.9ppt	0.5ppt
Research and development cost	(278)	10.2%	20.5%	(276)	12.4%	-0.6%	(283)	27.9%	2.6%	(260)	12.9%	-8.1%	(270)	-2.8%	3.8%
% of revenue	26.1%	5.4ppt	6.1ppt	23.3%	-0.4ppt	-2.8ppt	22.3%	-0.6ppt	-0.9ppt	21.4%	1.4ppt	-0.9ppt	27.9%	1.8ppt	6.5ppt
Business tax	(5)	-57.5%	-29.4%	(13)	59.5%	164.3%	(6)	18.3%	-52.1%	(9)	21.5%	35.9%	(4)	-24.5%	-56.1%
Operating profit	84	-35.7%	-32.1%	127	13.1%	52.5%	163	44.4%	28.2%	131	6.8%	-19.6%	49	-41.5%	-62.8%
Operating margin (%)	7.8%	-2.8ppt	-2.8ppt	10.7%	-0.1ppt	2.9ppt	12.9%	1.2ppt	2.1ppt	10.8%	0.1ppt	-2.1ppt	5.0%	-2.8ppt	-5.8ppt
Net Profit	195	20.3%	25.6%	235	51.9%	20.4%	246	88.0%	4.6%	160	3.2%	-34.8%	117	-40.0%	-27.0%
Net margin (%)	18.4%	5.0ppt	4.9ppt	19.8%	4.9ppt	1.5ppt	19.4%	5.8ppt	-0.4ppt	13.2%	-0.3ppt	-6.2ppt	12.1%	-6.3ppt	-1.1ppt
Adjusted net profit	132	-10.6%	-16.7%	208	63.9%	57.4%	233	85.7%	12.1%	159	0.4%	-31.7%	99	-25.1%	-37.9%
Adj. net margin (%)	12.4%	0.3ppt	-1.4ppt	17.5%	5.3ppt	5.1ppt	18.3%	5.4ppt	0.8ppt	13.1%	-0.7ppt	-5.2ppt	10.2%	-2.2ppt	-2.9ppt

Source: Company, BofA Global Research

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Silan (600460 CH, Underperform)

FY25: softer topline and earnings; maintain U/P

FY25 revenue rose 16% YoY to Rmb13.05bn (3% below consensus / BofAe), while net profit reached Rmb399mn (up 81% YoY), 32% / 36% below consensus / BofAe. We believe the weaker-than-expected topline and earnings were due to continued pricing pressure on competition and heightened depreciation expenses on capacity expansion. In view of softer-than-expected revenue & earnings growth, we trim our FY26-27E revenue / earnings forecasts by 2-3% / 1-8%. Rolling over valuation, our PO is adjusted to Rmb20.3 (from Rmb18.9) based on 36x 2Q26-1Q27E P/E (from previous FY26E P/E). Maintain our Underperform rating on Silan.

Growth led by Integrated Circuit biz. (e.g., MCUs) in FY25

By revenue segment, in FY25, integrated circuits revenue rose ~20% YoY to c.Rmb4.9bn, driven by continued ramp-up of IPM modules, 32-bit MCUs and automotive-grade analog / power management ICs, per mgmt. IPM modules remained a key growth contributor, with revenue up ~25% YoY to Rmb3.6bn, supported by deeper penetration into inverter-based applications across white goods, industrial and autos. Mgmt. also highlighted strong growth traction in 32-bit MCUs, with revenue up ~55% YoY. Meanwhile, power discrete and modules revenue grew ~17% YoY to Rmb6.4bn, led by robust growth in auto- and solar-related IGBT and SiC products (+40%+ YoY to c.Rmb3.3bn), reflecting ongoing volume ramp in EV main drive and PV inverter applications, in our view.

FY26E: solid rev growth with compressed margins

The GPM slightly declined 0.3ppts to 18.8% in FY25, mainly dragged by higher depreciation from phased capacity ramp-up. Mgmt. indicated that overall capacity utilization reached high levels in FY25, while R&D expenses stayed elevated amid continued investment in autos, SiC and advanced analog platforms. For FY26E, we expect high-teens YoY revenue growth, though margin upside is likely to lag topline in the near term.

Exhibit 25: Silan's 1Q26 revenue increased 17% YoY / 5% QoQ to Rmb3.52bn

Silan's quarterly and annual results

(RMB million)	1Q25	YoY %	QoQ %	2Q25	YoY %	QoQ %	3Q25	YoY %	QoQ %	4Q25	YoY %	QoQ %	1Q26	YoY %	QoQ %
Total revenue	3,000	21.7%	-1.9%	3,336	18.8%	11.2%	3,377	16.9%	1.2%	3,339	9.2%	-1.1%	3,519	17.3%	5.4%
Cost of revenue	(2,360)	22.9%	-5.2%	(2,682)	16.4%	13.6%	(2,769)	17.1%	3.2%	(2,782)	11.8%	0.5%	(2,823)	19.6%	1.4%
Gross profit	639	17.3%	12.5%	654	29.6%	2.3%	608	16.1%	-7.0%	556	-2.2%	-8.6%	696	8.9%	25.2%
Gross margin (%)	21.3%	-0.8ppt	2.7ppt	19.6%	1.6ppt	-1.7ppt	18.0%	-0.1ppt	-1.6ppt	16.7%	-1.9ppt	-1.4ppt	19.8%	-1.5ppt	3.1ppt
Sales and marketing cost	(36)	12.9%	-30.0%	(50)	12.5%	40.6%	(54)	5.3%	7.9%	(53)	3.0%	-3.1%	(36)	-0.2%	-32.2%
% of revenue	1.2%	-0.1ppt	-0.5ppt	1.5%	-0.1ppt	0.3ppt	1.6%	-0.2ppt	0.1ppt	1.6%	-0.1ppt	0.0ppt	1.0%	-0.2ppt	-0.6ppt
General and administrative cost	(109)	2.3%	12.9%	(121)	-0.6%	10.5%	(131)	-3.0%	8.4%	(142)	46.9%	8.6%	(106)	-2.9%	-25.4%
% of revenue	3.6%	-0.7ppt	0.5ppt	3.6%	-0.7ppt	0.0ppt	3.9%	-0.8ppt	0.3ppt	4.3%	1.1ppt	0.4ppt	3.0%	-0.6ppt	-1.2ppt
Research and development cost	(216)	-3.7%	-22.5%	(262)	-0.2%	21.0%	(290)	8.2%	10.9%	(322)	15.4%	11.0%	(237)	9.4%	-26.5%
% of revenue	7.2%	-1.9ppt	-1.9ppt	7.8%	-1.5ppt	0.6ppt	8.6%	-0.7ppt	0.7ppt	9.6%	0.5ppt	1.1ppt	6.7%	-0.5ppt	-2.9ppt
Business tax	(11)	18.0%	-38.2%	(14)	-2.8%	29.5%	(13)	21.9%	-7.8%	(19)	5.0%	42.4%	(13)	15.5%	-32.0%
Operating profit	267	55.0%	115.9%	207	238.0%	-22.5%	120	104.3%	-42.2%	20	-83.5%	-82.9%	305	14.4%	1392.4%
Operating margin (%)	8.9%	1.9ppt	4.9ppt	6.2%	4.0ppt	-2.7ppt	3.5%	1.5ppt	-2.7ppt	0.6%	-3.4ppt	-2.9ppt	8.7%	-0.2ppt	8.1ppt
Net Profit	149	NM	-22.2%	116	NM	-21.8%	84	56.6%	-27.5%	49	-74.1%	-41.3%	209	40.6%	322.0%
Net margin (%)	5.0%	5.6ppt	-1.3ppt	3.5%	3.8ppt	-1.5ppt	2.5%	0.6ppt	-1.0ppt	1.5%	-4.8ppt	-1.0ppt	5.9%	1.0ppt	4.5ppt
Adjusted net profit	145	9.0%	30.0%	124	NM	-14.3%	27	89.0%	-78.5%	372	234.0%	1295.0%	158	8.8%	-57.7%
Adj. net margin (%)	4.8%	-0.6ppt	1.2ppt	3.7%	4.0ppt	-1.1ppt	0.8%	0.3ppt	-2.9ppt	11.1%	7.5ppt	10.4ppt	4.5%	-0.4ppt	-6.7ppt

Source: Company, BofA Global Research

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Valuation charts

Exhibit 26: Since Jul 2019, Montage has traded 69x 12-month forward P/E on average, and is trading at 58x 12-month forward P/E

Montage Technology - P/E chart (Jul 2019 to May 2026)



Source: Bloomberg, BofA Global Research estimates

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Exhibit 28: Horizon Robotics is trading at 13.2x 12-month forward P/S with a historical average of 18.0x P/S

Horizon Robotics - P/S chart (Oct 2024 - May 2026)

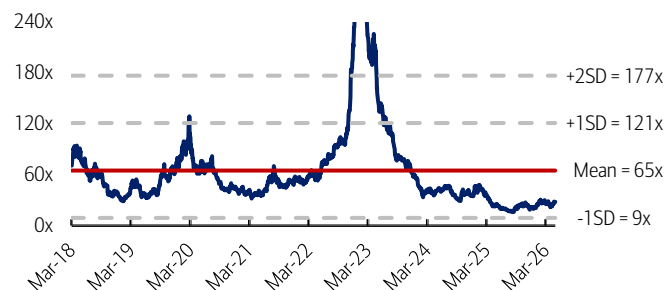


Source: Bloomberg, BofA Global Research estimates

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Exhibit 27: Since Mar 2018, GigaDevice has traded at a mean of 65x 12mths forward P/E, and it is currently at 28x

GigaDevice - P/E chart (Mar 2018 to May 2026)



Source: Bloomberg, BofA Global Research estimates

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Exhibit 29: Since Feb 2020, Rockchip has traded 88x 12-month forward P/E on average, and is trading at 46x

Rockchip - P/E chart (Feb 2020 to May 2026)



Source: Bloomberg, BofA Global Research estimates

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Valuation comp table

Exhibit 30: China power semis companies are trading at 43.9x FY26E P/E on average

Valuation comparisons – China power semis

		Price	Mcap	P/E		P/B		ROE (%)	Rev CAGR (%)	EPS CAGR	PEG	GPM (%)	NPM (%)
	Ticker	(Local)	(US\$bn)	FY26E	FY27E	FY26E	FY27E	FY26E	FY25-28E	FY25-27E	FY26E	FY26E	FY26E
China power semis													
Silan*	600460 CH	29.5	7.2	61.1	46.3	3.9	3.6	6.5	14.6	63.5	1.0	19.5	5.2
NCE Power*	605111 CH	44.5	2.7	35.5	27.2	3.8	3.4	11.4	19.4	31.3	1.1	33.0	22.5
InnoScience*	2577 HK	65.5	7.7	NM	138.8	7.7	6.5	-7.5	83.1	NM	NM	24.7	-23.8
CR Micro	688396 CH	58.1	11.4	57.7	42.9	3.1	2.9	5.0	18.2	65.0	0.9	28.1	10.0
Yangjie	300373 CH	76.6	6.1	26.1	21.2	3.8	3.4	15.0	NM	24.6	1.1	35.0	18.4
Jiejie Micro	300623 CH	30.1	3.7	N.A.	N.A.	N.A.	N.A.	N.A.	NM	NM	NM	NM	NM
StarPower	603290 CH	106.3	3.7	39.3	29.7	3.2	2.9	8.4	21.0	45.5	0.9	27.2	12.9
Average				6.1	43.9	51.0	4.3	3.8	6.5	31.3	46.0	1.0	27.9
Median				6.1	39.3	36.3	3.8	3.4	7.5	19.4	45.5	1.0	27.6

Source: Bloomberg, BofA Global Research estimates (*)

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Exhibit 31: China fabless companies are trading at 42.3x FY26E P/E on average

Valuation comparisons - power semis

		Price	Mcap	P/E		P/B		ROE (%)	Rev CAGR (%)	EPS CAGR	PEG	GPM (%)	NPM (%)
	Ticker	(Local)	(US\$bn)	FY26E	FY27E	FY26E	FY27E	FY26E	FY25-28E	FY25-27E	FY26E	FY26E	FY26E
China fabless													
Montage*	688008 CH	210.3	39.1	63.1	48.2	14.9	11.7	27.1	35.5	49.6	1.3	69.3	52.1
GigaDevice*	603986 CH	334.1	34.9	32.0	26.1	8.6	6.6	31.8	47.0	127.3	0.3	55.7	35.0
Will Semi*	603501 CH	99.2	18.2	32.7	22.7	3.3	2.9	11.5	11.3	14.0	2.3	29.6	12.1
Maxscend*	300782 CH	103.8	8.8	NM	419.5	6.3	6.2	-3.4	12.6	NM	NM	21.6	-8.5
Rockchip*	603893 CH	178.3	11.0	49.0	37.5	13.6	10.8	31.0	29.5	38.8	1.3	44.2	26.3
Ingenic*	300223 CH	133.9	9.5	35.2	25.2	4.5	3.8	13.7	36.8	161.2	0.2	44.3	23.4
Goodix *	603160 CH	65.7	4.5	35.7	32.5	3.1	2.9	8.7	15.7	5.4	6.6	42.1	15.6
Bestechnic	688608 CH	179.0	4.4	33.0	24.3	3.9	3.4	11.8	11.3	44.1	0.7	39.1	19.2
Novosense	688052 CH	201.0	4.6	N.A.	N.A.	4.5	4.3	1.4	8.8	NM	NM	37.6	2.3
Espressif Systems	688018 CH	174.8	4.3	42.9	32.5	5.6	4.9	12.7	NM	30.7	1.4	46.0	20.5
SG Micro	300661 CH	88.4	8.1	59.5	45.0	8.6	7.4	14.2	24.9	48.8	1.2	51.1	17.1
StarPower	603290 CH	106.3	3.7	39.3	29.7	3.2	2.9	8.4	21.0	45.5	0.9	27.2	12.9
Fudan Micro	688385 CH	71.7	7.2	N.A.	45.9	8.4	7.2	8.0	7.8	37.5	1.7	59.2	18.1
3Peak	688536 CH	253.9	5.2	N.A.	N.A.	5.5	5.1	5.9	11.0	73.4	1.3	47.0	12.9
Nations Tech	300077 CH	25.6	2.4	N.A.	N.A.	N.A.	N.A.	N.A.	NM	NM	NM	NM	NM
Microsemicon	688380 CH	49.4	2.9	N.A.	N.A.	6.3	6.0	6.6	11.0	-2.1	NM	32.4	13.6
Sino Wealth	300327 CH	27.6	1.4	N.A.	53.0	5.2	4.9	6.6	NM	71.5	1.1	32.7	8.2
Average			10.0	42.3	64.8	6.6	5.7	12.3	20.3	53.3	1.6	42.4	17.5
Median			5.2	37.5	32.5	5.6	5.0	10.1	14.1	44.8	1.3	43.1	16.4

Source: Bloomberg, BofA Global Research estimates (*)

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Exhibit 32: Horizon Robotics and Black Sesame are trading at 14.7x / 7.1x FY26E P/S, respectively

Comp table - ADAS / AD SoC vendors

		Price	Mcap	P/S		P/E		P/B		ROE (%)	PSG	Rev CAGR (%)	GPM (%)	NPM (%)
	Ticker	(Local)	(US\$bn)	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY26E	(FY25-28E)	FY26E	FY26E
Horizon Robotics*	9660 HK	7.0	13.1	14.7	9.3	NM	NM	7.0	7.1	-15.1	0.2	58.0	66.4	-47.2
Black Sesame*	2533 HK	18.0	1.6	7.1	4.8	NM	NM	34.4	NM	-115.8	0.1	53.0	43.9	-91.3
Average			7.3	10.9	7.1	NM	NM	20.7	7.1	-65.5	0.2	55.5	55.2	-69.3
Median			7.3	10.9	7.1	NM	NM	20.7	7.1	-65.5	0.2	55.5	55.2	-69.3
Peers														
NVIDIA *	NVDA US	211.5	5,139.5	23.9	14.2	46.5	26.1	33.5	17.4	94.3	0.4	52.8	71.3	55.6
Qualcomm *	QCOM US	202.6	213.5	5.1	4.9	19.1	18.9	8.2	7.9	47.4	-2.4	1.7	55.1	31.3
AMD *	AMD US	408.5	666.0	13.6	9.5	56.1	34.6	9.0	7.1	17.6	0.3	37.4	55.6	24.5
Renesas *	6723 JP	3,530.0	42.3	4.2	3.9	14.7	13.8	2.3	2.1	17.1	0.3	10.9	58.2	17.7
Texas Instruments *	TXN US	285.2	259.6	12.6	11.3	37.9	30.5	14.1	12.2	39.5	0.9	12.1	59.4	33.7
Average			1,264.2	11.9	8.7	34.9	24.8	13.4	9.3	43.2	-0.1	23.0	59.9	32.6
Median			259.6	12.6	9.5	37.9	26.1	9.0	7.9	39.5	0.3	12.1	58.2	31.3

Source: Bloomberg, BofA Global Research estimates (*)

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Report links for FY25 / 1Q26 results

Title: Subtitle	Date Published
Maxscend (A): Soft 1Q26 results; low growth visibility on soft demand; margin still under pressure	30 April 2026
GigaDevice (A): 1Q26 results beat; strong GPM expansion with better pricing across the segments	29 April 2026
NCE Power (A): 1Q26 largely in-line; revenue grew QoQ, GPM gradually stabilized with more recovery ahead	29 April 2026
Montage Technology (A): 1Q26 results beat on better GPM; revenue growth largely in-line	28 April 2026
Horizon Robotics: Letter from Beijing: launch of cockpit AD fusion SoC & in-car agentic AI OS	22 April 2026
InnoScience Technology: Mgmt call takeaways: solid growth ahead with wider industry GaN adoption	09 April 2026
InnoScience Technology: FY25 first-take: rev & GPM slightly below, AIDC and auto as new growth drivers	30 March 2026
Rockchip (A): In-line 1Q26 results; solid growth on strong AIoT product demand	21 April 2026
Rockchip (A): FY25 results: solid rev & earnings growth; rapid ramp-up of AIoT SoC products	15 April 2026
Black Sesame Intl Holding: FY25 rev beat; solid chip shipment, while more investment may impact profitability	02 April 2026



Exhibit 33: List of Acronym

The list of acronyms used in the report

Acronym	Full name
AI	Artificial intelligence
AIGC	Artificial-intelligence-generated content
ASIC	Application-specific integrated circuit
ADAS	Advanced driver-assistance systems
ASP	Average selling price
CKD	Clock driver
CSP	Cloud service provider
DCF	Discounted cash flows
DDR	Double data rate
DRAM	Dynamic Random Access Memory
DOI	Days of inventory
EV	Electric vehicle
EBIT	Earnings before interest and tax
F/P	Fingerprint
GPM	Gross profit margin
IP	Intellectual property
IoT	Internet of Things
IGBT	Insulated gate bipolar transistor
IPM	Intelligent power module
IDM	Integrated device manufacturer
L-PAMiD	LNA PA module integrated with duplexer
MRCD	Multiplexed Registered Clock Driver
MDB	Multiplexed Data Buffer
MCU	Microcontroller
MOSFET	Metal-oxide-semiconductor field-effect transistor
NFC	Near Field Communication
NOR	NOT-OR
OEM	Original Equipment Manufacturer
OSAT	Outsourced Semiconductor Assembly and Test
PCIe	Peripheral Component Interconnect express
PC	Personal computer
RISC	Reduced Instruction Set Computer
RF	Radio frequency
R&D	Research & development
RCD	registered clock driver
SoC	System on Chip
SiC	silicon carbide

Source: BofA Global Research

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Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
BSIHF	2533 HK	Black Sesame	HK\$ 18.04	C-2-9
XGXIF	603986 CH	GigaDevice	CNY 334.1	C-1-7
XDFRF	600460 CH	Hangzhou Silan	CNY 29.49	B-3-7
HRZRF	9660 HK	Horizon Robotics	HK\$ 7.02	C-1-9
XSCHF	2577 HK	InnoScience	HK\$ 65.5	C-1-7
XMMSF	300782 CH	Maxscend	CNY 103.8	B-3-9
XRDF	688008 CH	Montage	CNY 210.27	C-1-7
XVFFF	605111 CH	NCE Power	CNY 44.52	C-1-7
XRPXF	603893 CH	Rockchip	CNY 178.3	C-1-7
XQPLF	603160 CH	Shenzhen Goodix	CNY 65.71	B-2-7

Source: BofA Global Research

Price objective basis & risk**Black Sesame Intl Holding (BSIHF)**

Our PO of HK\$20 is based on a 50/50 blend of P/S and DCF to reflect near-term growth and long-term outlook. We choose the P/S valuation metric because Black Sesame is rapidly growing its revenue while it is still loss-making, rendering P/E inappropriate. Our P/S based valuation is HK\$20.4, based on 7x 12-mth Fwd P/S. Our multiple of 7x represents a c.60% discount to the market cap weighted average FY26E P/S of major AI / ADAS SoC chip vendors in China, given that the company has a much smaller revenue scale vs. its peers and it is still loss-making with low visibility of break-even in the near term.

Our DCF based valuation is HK\$19.6, applying 10.7% WACC (2.5% risk-free rate, 8% market risk premium, and 1.2x beta), and 3% terminal growth rate. We also assume HKDCNY FX rate at 0.89.

Upside risks: 1) faster-than-expected ADAS/AD penetration in China, 2) better-than-expected sales of new product, 3) better-than-expected progress of customer development, and 4) earlier-than-expected breakeven.

Downside risks: 1) intensified market competition, 2) supply chain disruption, 3) slower customer development progress, and 4) tendency of auto OEMs developing autonomous driving solutions in-house.

GigaDevice (XGXIF)

Our PO of Rmb455 is based on 40x 2H26-1H27E P/E, which is in-line with the average valuation of Chinese fabless peers with similar margins (memory, MCU and analog). Besides, it is within its historical trading range of c.30-120x 12mth Fwd PE.

Upside risks: (1) better-than-expected DRAM/NAND price hike, (2) better-than-expected margin profiles on faster traction to high-end MCU/NOR markets, and (3) faster ASP recovery of NOR / MCU.

Downside risks: (1) fiercer competition from local peers in MCU/NOR, which may lead to ASP and margin pressure, (2) softer industry demand and (3) slower-than-expected growth from new products, such as LPDDR4 and 3D DRAM.

Hangzhou Silan Microelectronics (XDFRF)

Our PO of RMB20.3 is based on 36x 2Q26-1Q27E P/E, which is set as the average of China power semi IDM due to similar growth.

Upside risks: (1) better-than-feared price competition from global and local peers (2) faster-progress to high-end market segment including silicon carbide and autos, and (3) higher-than-expected capacity utilization.

Downside risks: (1) slower-than-expected end-demand that translates into headwinds for growth (2) fiercer-than-expected competition from domestic peers, that translates into margin pressure (3) execution risk in ramping up capacity and yield, that translates into slower traction in gaining design wins and product mix upgrade.

Horizon Robotics (HRZRF)

Our PO of HK\$11.9 is based on a 50/50 blend of P/S and DCF to reflect near-term growth and long-term outlook. We choose the P/S valuation metric because Horizon Robotics is rapidly growing its revenue while it is still loss-making before breakeven from FY28E, rendering P/E inappropriate. Our P/S based value is HK\$12.0, based on 22x 12-month forward P/S. Our multiple of 22x is in-line with the market cap weighted average P/S of Horizon Robotics' China peers (major AI Chip / ADAS SoC chip vendors) given that we expect the company to post comparable FY25-28E revenue CAGR of 58% vs. peers.



Our DCF based valuation is HK\$11.8, applying 10.7% WACC (2.5% risk-free rate, 8% market risk premium, and 1.2x beta), and 3% terminal growth rate. We also assume HKD/CNY FX rate at 0.89.

Upside risks: 1) more orders win from auto OEM especially the foreign brand, 2) earlier-than-expected roll-out of more advanced solutions (with J6P), 3) earlier-than-expected breakeven.

Downside risks: 1) slower-than-expected ADAS/AD penetration in China, 2) stiff competition, 3) supply chain bottleneck, and 4) a higher proportion of OEMs/ Tier-1 suppliers with in-house solution development.

InnoScience Technology (XSCHF)

Our PO of HK\$92 is based on a DCF valuation (WACC: 10.7%, terminal growth: 3%), reflecting positive outlook on InnoScience's long-term growth trajectory. Our PO implies a FY26E price/sales growth (PSG) of 0.4x, based on 89% FY25-27E revenue CAGR. The 0.4x implied PSG is largely in line with peers' average of FY26E PSG.

Upside risks: (1) faster-than-expected GaN adoption in data center and robotics, (2) earlier-than-anticipated profitability, and (3) better customer development progress with more new design wins.

Downside risks: (1) prolonged capex cycles weighing on profitability, (2) intensified competition leads to lower pricing, and (3) execution challenges under an IDM model.

Maxscend (XMXSF)

Our PO of Rmb50 is based 7x 12mth forward P/S, taking 30% discount to the average P/S valuation of its A-share peers given weaker profitability. We think P/S is an appropriate valuation metric as the company is loss making in FY26E.

Upside risks: (1) stronger-than-expected recovery of global smartphone shipment, (2) quicker-than-expected revenue ramp-up of advanced modules, and (3) better-than-expected operating margin improvement (e.g., due to scale advantage from the Fab-Lite model).

Downside risks: (1) slower-than-expected recovery in the smartphone market, (2) intensified market competition from domestic players, and (3) major failure in the R&D of new RF modules.

Montage Technology (XRDF)

We derive our PO of Rmb251 on discounted cash flow (DCF) valuation approach, with a weighted-average cost of capital (WACC) of 9% and terminal growth rate of 3%, implying 57x FY27E P/E, which is largely in line with the average valuation of China A-share fabless.

Upside risks: 1) faster-than-expected launch of PCIe Switch new products, 2) higher-than-expected revenue contribution from PCIe Retimer, and 3) faster-than-expected MRCD/MDB industry penetration.

Downside risks: 1) intensified competition from peers or potential newcomers, 2) geopolitical risks on trade restrictions (AI Chips), and 3) delayed launch of new CPUs by others.

NCE Power (XVFFF)

Our PO of Rmb47 is based on 32x 2H26-1H27E P/E, which is set 15% discount to the average valuation of China power semiconductor companies due to its smaller revenue scale. We think that this valuation is justified by NCE Power's strong earnings growth

momentum of 25% CAGR in FY25-28E, driven by solid top-line growth on continued share gain by launching more high-end products.

Upside risks: (1) stronger-than-expected demand for power devices (i.e., auto), (2) launch of new products with technological advancements (e.g., SiC / power modules), and (3) better-than-expected margins improvement.

Downside risks: (1) supply chain disruption, (2) intensified competition of China power semiconductor market, (3) failure to catch up with technology advancement (e.g., SiC and GaN), and (4) regulatory challenges.

Rockchip (XRPXF)

Our PO of Rmb235 is based on 60x 12mths forward P/E, which is set in-line with the average of China fabless peers listed in A-share. We think our target valuation multiple is not demanding given that 1) it is 0.5SD below its historical average of c.90x and 2) encouraging growth outlook with 39% earnings CAGR in FY25-27E. We use a P/E-based valuation methodology to better factor in its earnings growth outlook.

Upside risks: 1) faster edge-AI computing penetration, 2) more design wins, 3) automotive and robotics market expansion, and 4) faster semi localization trends.

Downside risks: 1) downstream demand volatility, 2) competitive pressure, 3) technology transition risk with slower new product launch, and 4) supply chain and geopolitical risks.

Shenzhen Goodix (XQPLF)

Our price objective (PO) of RMB73 is based on discounted cash flow (DCF) methodology, which incorporates 8.7% weighted-average cost of capital (WACC) and 3% terminal growth rate, and is supported by 1) sound balance sheet (40-50% net cash), and 2) recovering operating cash flow generation along with higher revenue base.

Upside risks: (1) quicker adoption of ultrasonic fingerprint solutions by clients, (2) faster-than-expected ramp-up of emerging products, and (3) quicker addressable market expansion in non-smartphone business.

Downside risks: (1) faster-than-expected product ASP erosion from intensified competition, (2) weaker-than-expected smartphone shipment, (3) wider adoption of non-fingerprint biometric sensors.

Analyst Certification

I, Daley Li, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Mike Yang
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFE	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	XPZCF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Kinik	KIKCF	1560 TT	Haas Liu
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	Novatek	NVKMF	3034 TT	Haas Liu
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	XWIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

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Important Disclosures

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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